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Financial Handbook Volume-II

DISCLAIMER: *This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations, this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.*

FINANCIAL HAND BOOK VOLUME II

CHAPTER I: INTRODUCTORY

Rule 1. Scope and Applicability

The procedure relating to initial and compiled Accounts of Post Offices (PO) & Railway Mail Service (RMS). The classification of transactions into **15 digits** Head of Account of Department of Posts (DOP). The rules relating to the Post Office & RMS initial off-line & on-line transactions Account and the compilation of the relevant Treasury Rules have been included in this Handbook.

Rule 2. Definitions

1. **The Drawing and Disbursing Officer (DDO):** The designated Authority in any unit of DOP who is responsible for drawing bills, all money received or disbursed and making payments in his office and the maintenance & submission of accounts to the Controller General of Accounts (CGA) through the Circle Postal Accounts Office.
2. **Non-Cheque Drawing DDOs (NCDDOs):** The DDOs which have not been vested with cheque drawing powers. Viz. Regional Office (RO), Circle Office (CO), PLI Directorate, Head Record Office (HRO) in RMS.
3. **Head of Postal Accounts Office:** The Head of an Office of Accounts subordinate to Head of Circle and responsible for scrutiny, review, monitoring, and reconciliation of e-accounts rendered by DDOs/NCDDOs & submission thereof to CGA.
4. **The "Bank":** Means any office or branch of the Banking Department of the Reserve Bank of India (RBI), any branch of the State Bank of India (SBI) acting as the agent of the RBI.
5. **The Secretary:** Means Secretary, Department of Posts.
6. **The Director General:** Means the Director-General of Department of Posts.
7. **The Department:** Means the Department of Posts.
8. **The Government:** Means the Central Government.

9. **The Head of a Circle:** Means a Chief Postmaster General (CPMG) of a Circle, Department of Posts and/or any other Officer specifically declared as such by the Competent Authority.
10. **The Head of a Department:** Any authority declared under S. R. 2(10). The President has declared the Director-General of Department of Posts to be Head of the Department.
11. **Treasury:** Includes a sub-Treasury.
12. **Head of Accounts (15 digits):** The classification structure is as follows:

Classification	Digits
Major Heads	4 Digits
Sub-Major Heads	2 Digits
Minor Heads	3 Digits
Sub-Heads	2 Digits
Detailed Heads	2 Digits
Object Heads	2 Digits

13. **Postmaster-General:** Includes CPMG, PMG, Regional PMG, Director of Postal Services (DPS).
14. **Railway Mail Service:** Carriage of mails by road, air, river and train and collection and distribution of mails.
15. **Superintendent:** Includes Superintendent (SP) & Senior Superintendent (SSP) of Post Offices and Superintendent (SRM) & Senior Superintendent (SSRM) of RMS, direct subordinate of DPS/PMG/CPMG.
16. **Head Post Office (HPO):** Account office of sub office and Branch office and the Officer in-charge of a Head Office is designated a Head Postmaster.
17. **General Post Office (GPO):** The First-class Head Office situated at the Headquarters of the Head of a Circle or, where there is more than one such Head Office, the one attached to the HQ, is termed GPO.

18. **Sub-Office:** A sub-office is a Post Office subordinate to and in account with a Head Office. The officer in-charge of a sub-office is designated a Sub Postmaster (SPM).
19. **Branch Office:** A Branch Office is a Post Office of lower status than a sub-office. It is in direct account with a Head or sub-office. The Office in-charge is Branch Postmaster (BPM).
20. **Transit Office:** Any Post Office which is situated on a line of through mail communication, and receives and sorts bags intended for offices in advance, without opening them, is a transit office.
21. **Transit Mail Office (TMO):** A branch of RMS where closed bags are received and dispatched, sorting of letters is not done in this unit. Mail Agent or Mail Guard is in charge of this unit.
22. **Computerized Transit Mail Office:** These Offices are called Computerized TMOs.
23. **Sorting Office:** Where work of sorting of articles is done.
24. **Automatic Mail Processing Centers (AMPC):** Sorting machines have been provided which have high speed of sorting.
25. **Computerized Registration Centers (CRC):** The Registration Branch of the Mail Office, where the processing of registration work is done on computers, is called Computerized Registration Sorting Centre (CRC).
26. **Sorting sub-office:** Where the work of sorting is done.
27. **Returned Letter Office (RLO):** A Returned Letter Office is established at the Headquarters of a Postal Circle.
28. **Transcription Centre:** A transcription center is a cell established in a Sorting Office, situated normally at the Headquarters of the Circle.
29. **Office of Exchange:** Offices of exchange of transit bags, Foreign Post Offices and Sub-Foreign Post Offices.
30. **Foreign Post Office:** An office of exchange in which the work of assessment of customs duty on foreign mails is also carried out.

31. **Sub-Foreign Post Office:** Such sub-Foreign Post Offices are opened mainly for the convenience of senders and addressees who may be required to present documents, etc., for the release or dispatch of their foreign articles.
32. **Mail Office:** Mail Offices are stationary offices of the RMS and are of two kinds, viz., Sorting Mail Offices (SMO, HSA is in charge) and Transit Mail Offices (TMO, Mail Agent is in charge).
33. **Corporate Mail Office or Bulk Mail Centre (CMO/BMC):** Corporate Mail Offices/Bulk Mail Centers are opened in big cities. Each Bulk Mailer, i.e., a firm which is capable of posting of **5000 unregistered articles / 250 registered articles** at a time.
34. **Mass Mailing Centre (MMC):** This Centre is receiving the loose letters, circulars and blank envelopes separately from the customers and help them in writing the addresses, enclose the circulars/letters inside the envelopes, affixing the postage stamps/franking the mail. For this purpose, the MMC may engage the assistance of college students, house-wives, pensioners, etc., on payment of some amount on hourly basis.
35. **Record Office:** A Record Office is a stationary office of the RMS where the work papers of the sections attached to it are prepared, checked and placed on record.
36. **Head Record Office:** It is a stationary office situated at the HQ of RMS Division. The preparation work of salary and contingent bills for the entire Division is done on HRO Level.
37. **Sub-Record Office:** A sub-record office is a stationary office of the Railway Mail Service, situated at the same station as a Mail Office.
38. **Account Bag:** An account bag is used between a sub-office and its Head Office to enclose cash bags and articles, documents, etc. from the Head Office to one of its sub-offices and vice versa. (HO to SO: S.O. Slip & SO to HO: S.O. daily account). Account bags are **due bags**.
39. **Branch Office Bag:** A branch office bag is used between a branch office and its account office to enclose cash bags and all articles, documents, etc. Branch office bags are **due bags**.

40. **Cash Bag:** A cash bag is used to enclose remittances of cash between Post Offices. Cash bags are **not due bags**.
41. **Overtime Duty:** Overtime duty means the duty performed under the orders of the SRM, ASP, IRM or Record Officer by a SA, Mail Guard, MTS, other staff of the RMS after the completion of prescribed term of duty.
42. **Digital Payments:** Funds flow directly from one account to another and is Faceless, Paperless, and Cashless. Digital Payment transactions can be done through:

Mode	Description
BHIM	Bharat Interface for Money
BHIM Aadhaar (AEPS)	Aadhaar Enabled Payment System
Bharat QR Code	Bharat Quick Response Code
UPI	Unified Payments Interface
USSD	Unstructured Supplementary Service Data
IMPS	Immediate Payment Service
Debit/Credit Cards	Electronic Cards
NEFT	National Electronic Funds Transfer
RTGS	Real Time Gross Settlement

CHAPTER II: SUPPLY OF STAMPS

Rule 4. Fixation of Stock Limits

Minimum and Maximum stock of Stamps are fixed by:

- **Non-Gazetted Postmasters:** Divisional Head
- **Group 'B' Postmasters:** Director of Postal Services (DPS)

- **Group 'A' Postmasters:** CPMG/PMG

Note: The word "stamps" in this rule includes postage stamps, non-postal stamps, envelopes and Post cards.

Rule 5. Procurement by Head Post Offices

Head Post Offices will obtain their supply of stamps, not exceeding their respective authorized maximum stamp balances, from the Postal Stores Depot (PSD). Head Post Offices will obtain their requirement of Revenue stamps from Treasuries on payment of cash.

Rule 6. Supply of Stamps from Stamp Depot

(a) The Head Post Offices within the jurisdiction of PSD obtain their supplies of Postage Stamps, Postal Stationery, and other type of Stamps. The Head post office shall follow end-to-end electronic process of procurement, sales, inventory, transfer, verification, etc.

(b) On receipt of stamps and Postal Stationery from the PSD, the Head Postmaster or any other person authorized shall check and verify the articles received with the invoice and return one copy of invoice to PSD not later than **3 days** of the receipt of the supply.

(c) The face value of the articles received from the Postal Stores Depot shall be entered in the Stock register as Receipt from the Stores depots.

(d) The PSD shall furnish the data of stamps supplied to HPO in a month in e-format to the CPAO for verification to ensure that the supply is received at HPO and accounted in the stock register not later than **3 days** of the receipt of each supply.

(e) Unserviceable stocks of stamps and stationery shall be exchanged for serviceable ones of the same kind from the Postal Stores Depot. The surplus stocks of stamps and stationery shall be returned by the post offices to the Postal Stores Depot for exchange with other denomination of stamps actually required.

Rule 7. Supply of Commemorative Stamps

Commemorative stamps are supplied by Nasik Security Press to certain Philatelic Bureaus and Presidency Post offices.

(a) The Nasik Press will dispatch the supplies to the designated Post Office accompanied by an invoice in triplicate. One copy of the invoice shall also be forwarded direct to the Postal Accounts Office of the Post Office by the press.

(b) Two acknowledged copies of the invoice will be returned to Nasik Press immediately on opening and verifying the supplies. The two copies should be marked first copy and second copy.

Rule 10. Loss or Damage of Stamps

When postage stamps and stationery are lost or damaged, or become useless or obsolete, the value thereof should be written off under the orders of the competent authority. The stock account is updated accordingly. In every case of write off, a copy of the order is communicated to the PAO with a copy to PSD.

Philately Rules

Rule 11. Definition: Philately is an art of systematically collecting and studying stamps and postal stationeries including research activities on stamps & other philatelic products.

Rule 12. Types of Stamps:

- **Definitive stamps:** Issued for day-to-day use as postage for availing postal services by customers and such stamps are reprinted when exhausted.
- **Commemorative stamps:** Issued to commemorate certain events, personalities, themes, flora, and fauna etc., and they are not reprinted when the stock is exhausted.

Rule 13. Philatelic Bureau: It is a branch of a HO or SO specifically setup by the Department to deal with the receipt and sale of all philatelic items like special/commemorative stamps, first day covers, special covers, new issues in definitive stamps, and new stationery etc. It also provides special cancellations on first day covers and special covers. It maintains Philatelic Deposit Accounts.

Rule 14. Philatelic Counters: It is a counter for sale of philatelic items. A philatelic counter is functioning in each Head Post Office. These counters offer registration facility for opening Philatelic Deposit account with supply of material by the Parent bureau.

Rule 15. Philately Deposit Account Scheme: Philately Deposit Account can be opened at Philatelic Bureau or Philatelic counter of HO. An amount of **Rs. 200/-** has been prescribed as Security deposit in Philatelic Deposit Account.

Rule 16. Special Cover: An event which is not nationally important enough to be commemorated by issue of a Commemorative/Special stamp. Department will issue Special Covers which can be cancelled with a special cancellation at the post office.

Rule 17. My Stamps: It is the brand name for personalized sheets of commemorative postage stamps of India Post. The personalization is achieved by printing a thumb nail photograph of the customer images and logo of institutions, or images of artwork, heritage buildings, famous tourist places, historical cities, wildlife, other animals and birds etc.

Rule 19. Railway Mail Service Offices (Supply)

The supply of required stamps as per the authorized limit shall be made by the designated post office as advance supply to a mail office of the RMS, SRO or HRO having Mail Office under him should be required to grant a receipt countersigned by the Superintendent, RMS for the value of the stamps supplied to him and it is renewed on **1st April** every year.

CHAPTER III: REVENUE RECEIPTS

Postal Revenue

Rule 20. Classification of Revenue

The Department earns revenue under Major Head **1201** (The First Four digits of **15-digit** CGA Head of Account). The areas include sale of the following products and services from segments like mail operation (Traditional and Business Development), Postal Savings Bank Operations, and other allied services.

Postage Collection: The postage collection is done through any of the following modes for the services rendered by Department of Posts:

- Cash, Cheque, and DD.
- **Digital modes:** Debit/credit card, Net banking, UPI Payments, live QR/QR code, POSB debit, etc. (digital mode where applicable).

- Franking.
- Book Now Pay Later and advance payments.
- Posting of Registered Newspaper without prepayment of postage.

Registered Newspaper License:

- License granted by Head of Circle/Head of the Regions. A copy of the license should be sent by the Head of Circle to the Postal Accounts Office concerned with particulars of the organization and the amount of Security Deposits accepted and form.
- If the license is cancelled, these facts may be intimated to the Circle Postal Accounts Office by Circle Office / Regional Office.
- The office of posting will prepare fortnightly (i.e., for **1st to 15th** and **16th to the end** of each month) bills in form **MS-98** and present the bill to the newspaper on the **16th** and **1st** of each month.
- The license should be deemed to have been cancelled if the bill remains unpaid by the end of the fortnight following the fortnight to which it relates.

Rule 21. Franking Services

The Fee for applying for a new license is **Rs. 375**. Renewal Fee for the expired license is **Rs. 475**. This will be a postal receipt and credited to **1201-00-800-42-35-00**.

Rule 22. Book Now Pay Later Facility (BNPL)

- Bulk customers are eligible for credit facility to avail Speed Post and Business Post facility.
- Bulk customer is defined as anyone who provides **Rs. 10,000** worth of speed post business or business post or combination of both in a calendar month at a Speed Post booking office.
- The contract will be applicable for a period of **one year** and the approving authority shall renew the contract on an annual basis.

- The BNPL bill will be prepared on a monthly basis (Calendar month) by the office of posting.
- The bill will be raised by the **7th day** of the following month (bill date). The bulk customer shall pay the bill amount in full on or before the **last day** of the month in which the bill is raised.
- In case the customer fails to make the payment by the due date, penalty at the rate of **12% per annum** on the amount of the bill amount shall be imposed from the bill date.

Rule 23. Unpaid Postage

Unpaid and insufficiently paid letters and newspapers are taxed by the Postmaster and the amounts so realized are credited in accounts of the offices of the delivery under the head - Postage realized in cash for ordinary services (1201-00-101-01-01-00).

Rule 24. Postal Receipt

The various sources of postal receipts from various segments like postal operations, Financial Services, Post Office Insurance services, and other allied services operating third-party transactions include:

- **Postage realized in cash for ordinary services:** Sale of PC, ILC, envelope, Register Newspapers, Book Packet, sample packet, Recall of article, late fee, Unpaid postage etc.
- **Speed Post:** SP document, SP Parcel, SP-COD, POD etc.
- **Business Post**
- **Logistic Post:** FTL and LTL
- **Business Parcel**
- **Cash on Delivery**
- **Direct Post**
- **Media Post**
- **Bill Mail Service**

- Free Post Service
- International Mail Service
- Commission on e-Money Orders
- Commission on IFS Money Order
- Rent of Post Boxes and Bags
- Commission on sale of Indian Postal Orders
- Greeting Post
- Sale of Postage Stamps
- Sale of Service Stamps
- PRC for print to post service
- Commission on Field Postal Orders
- Retail Post
- Philately
- e-Post Services
- National Bill Mail Service
- Revenue from Common Service Centre
- Forfeited Money Orders
- Forfeited Indian Postal Orders
- Customs Duty-Postal Fee
- Commission on Aadhaar Services
- Commission on sale of Railway Tickets (PRRS)
- Revenue from management of SB accounts and certificates
- Recovery on PLI & RPLI Business

- Revenue from DOP E-Payment's solutions
- Sale of Revenue Stamps
- Sale of Sovereign Gold Bonds
- Postage realized for mail business service for e-ioid
- Interchange fee for interoperable ATM transactions
- Fees from contractors
- **Other Receipts:** Other items, E-commerce portal, Magazine post, Commission on account of IMT Transactions of WUMT (WUMT is discontinued).

CHAPTER IV: POST OFFICE ACCOUNTS

Rule 25. Duties and Responsibilities of the Treasurer

The treasurer is solely responsible for the safe custody during working hours of all the money, articles, documents, and property contained in the office safe from which current transactions are carried on, and for the correctness of the Treasurer's Cash Book. In offices where there is a reserve safe, he is jointly responsible with the Postmaster for the safe custody of the cash, etc., kept in the reserve safe or outside the reserve safe.

Duties of Treasurer include:

1. To supply funds from the office cash to subordinate offices (BO, SO, NDTSO etc.), postmen, and village postmen of the Head office and to other branches of HPO.
2. To take over under receipt, account bags from the delivery PA and Branch office bags from the mail.
3. To receive from the postmen, village postmen, and window Delivery Postal Assistant, collections on account of letter and parcel postage, registration fee and customs duty, with the relative postal fee realized on foreign parcels and redirection fees on parcels, unpaid money orders money from postman.
4. Consolidation of DOP cash wherever multiple treasurers exist.

5. Processing and accounting for Drawings from bank and Remittance to bank in cash through system-designed workflow in Treasurers Cash Book.
6. Ensure correctness of Drawings from Bank (cash) and Remittance to bank by cross-reference to e-statement downloaded from the bank Portal and obtain signature of Postmaster on day-to-day basis.
7. Remittance of cash and cheque to offices linked like CO, RO, MMS, PSD, and P&T audit on receipt of indent/e-indent through system process.
8. Supply of cash on approval for ATM cash loading agency or any other agency designated.
9. Maintain e-treasurers Cash Book and ensure that the closing DOP cash balance matches with Physical cash on hand.
10. Jointly responsible for safe custody of cash; insured articles and such other articles to be kept in safety including out of account sums.
11. Receipt, issue, stock, and requisition including maintenance of e-records for definitive stamps and stationery including commemorative stamps.
12. Remittance of cash and cheque to SOs and BOs as applicable and watch for the system acknowledgments and cash in transit.
13. Submission of all vouchers to Accounts section against which disbursement effected directly by treasurer.
14. Maintenance of error book and documenting such errors, omissions, and commissions.
15. Re-issue of cheque in lieu of cancelled and revalidations of cheques.
16. COD biller online/offline payments.
17. Cheque book supply to subordinate offices.
18. Issue letter of credit/limit in case of subordinate SOs who are having drawing/Remittance Bank account.
19. Opening of cash Bags and its accounting.

20. Daily maintenance of e-stamp balance register for definitive and commemorative stamps.

Rule 26. e-Treasurer's Cash Book (ZFBL3N)

1. E-Treasurer's Cash Book (**Form ACG-2**) is intended for the entry of all sums (including stamps) actually received and paid by the Treasurer. All transactions under the heads, Receipts and Payments, should be serially numbered.
2. Actual cash transactions only will be entered in the Treasurer's Cash Book. Receipts and payments by book transfer should not be entered.

Rule 28. Balancing the Cash Book

Both sides of the e-Treasurer's Cash Book should be totaled for the day and balanced, the closing balance being written in words, and the book being signed both by the Treasurer and the Head Postmaster below the closing balance. **Daily Transaction Report (DTR)** for the day should tally with the treasurer cash Book closing balance and the treasurer and the postmaster are jointly responsible for the accuracy and corresponding physical cash balance in the treasury.

Rule 29. Authorization of Payments

Before giving cash to any of the officials, the Treasurer must obtain the initials of the Head Postmaster, or in his absence, any other officer specifically authorized in that behalf, against the entry of the sum in his cash book in token that the payment is authorized by the latter. Cash to be made over to another official of the Head office should always be given to him directly, and not through a third person.

Rule 30. Bank Account Reconciliation

Where a post office is attached with a bank Account for drawl of funds and remittance of surplus cash, it shall be ensured by the Treasurer and Postmaster that the fund is accounted correctly in the books of the bank & in the treasurer cash book respectively on the day of remittance with reference to the **e-bank statement** which is generated from the respective bank website/portal for which postmaster should get authorization. It shall be the joint responsibility of Treasurer and Postmaster and this work is in addition to the work of Bank reconciliation.

Rule 32. Daily Adjustment of Treasurers Accounts

(a) The Treasurer is strictly prohibited from keeping running accounts with the PAs, Postmen, and GDS. All amounts advanced to the Counter PAs by the Treasurer, or received by them during the day on account of e-money orders, Indian Postal Orders, Saving Bank, Post office certificates, or other transactions, or as postage due on articles received for delivery, etc., must as an absolute rule be adjusted before the office is closed.

(b) It is the Treasurer's duty to receive the collections on account of letter and parcel postage and customs duty, with relative postal fee, from Postmen and GDS directly and not through any of the PAs. The accounts with the Postmen must be adjusted daily at the hour fixed by the Head Postmaster, and with the village postmen immediately on their return to the post office.

Rule 33. Payment of Money

(a) The bill or other documents presented as a claim for money will be received and examined by the accountant, and then laid before the Postmaster; no payment is made except under the written order of Postmaster.

(b) After payment order has been signed by the Postmaster on the bill or other document, he shall indicate on the bill mode of payment i.e., whether in cash, by cheque, or by bank Draft/Government Drafts, enter it in his cash Book, deface the stamp with the date stamp, and stamp it with the Cash Paid stamp.

Note: Deputy Postmasters are authorized to sign payment orders on occasions when the Head Postmaster is away from office during office hours.

Rule 36. Payments of Head Record Clerks of the RMS

(a) When an establishment or contingent bill, or a receipt for advance, prepared by Head Record clerk of the Railway Mail Service is presented at the Head Post Office with a remittance memorandum in the prescribed form (ACG.34) duly signed, for payment in cash or by Service money orders, the Head Postmaster should, after examining the continuity of the bill numbers, stamp, and issue the cash and Service money orders required, and return the bill or receipt to the Head Record Officer.

(b) To ensure disbursement, on the **last working day of each month**, except in case of March, the Head Record Officer will present at the Head Post office attached, **two or three**

days before close of each month, the system processed salary details for effecting online transfer of disbursements through POSB (CBS) or bank as the case may duly tallying the entries.

Rule 37. Responsibility for Accounts

The Head Postmaster is personally responsible that the **DTR** for the office is correctly and punctually generated on the day following that to which the entries relate and generally that his accounts are correct and the closing balance of DOP cash tallies with the actual physical cash balance held in the office. He shall ensure that no transactions done off-line and on-line are missed to be incorporated in the day's account. If any transaction is not incorporated in account or concerned correct GL code brought into the accounts immediately, it must be done before the month accounts are closed.

Rule 38. Verification of DTR

The entries in the DTR must be verified by the Head Postmaster himself except when under the special orders of the Head of Circle or PMG has been allowed to delegate the duty of verifying the DTR to one of his subordinates. When the duty of verifying the DTR is delegated to the subordinates employed in the office, the Head Postmaster must himself check at least **two totals** under each of the heads-receipts and payments in the DTR before he submits the accounts to Circle Postal Accounts Office. The two entries so examined should be marked by him "Examined" before he signs the DTR.

Rule 39. Entry in Accounts

- Every item received or paid must at once be brought in a register or e-schedule subsidiary to the daily transaction Report as a line item and numbered in a consecutive daily series for each e-schedule or register.
- The corresponding e-returns for the CPAO should be checked, in order to ensure their punctual dispatch on due dates.
- It shall be ensured by the Head Postmaster that total for the day of all receipts and payments (Head Post Office plus Sub Post Offices plus Branch Post offices and any other unit) are correctly depicted in the classified abstract as generated through system and accompanied bills/vouchers/lists/journals etc. are available.

Rule 40. Consolidation of Accounts

Post Offices are, for account purposes, divided into three classes, namely:

(a) Branch Post Offices: Which perform transactions and reporting to what is technically known as their Account office, be either a sub office or a Head office. Branch office shall submit all related transaction documents to Account office. Account office ensures that proper accounting of cash transactions done by Branch post offices in digital mode like collection and disbursement of IPPB deposits & payments respectively. Verification and checking the correctness of closing balance as in the DTR of the Branch post office shall be the responsibility of its account's office.

(b) Sub Post Offices including MDG: The sub post offices & MDG are in account with Head office for meeting its cash/fund requirement. Sub office including MDG shall submit all related transaction documents, vouchers, e-lists, and details to head office in support of its transactions for the day to HPO. Verification of closing balance for the day of its office and Branch offices under it lies with sub post master with reference e-records and documents available and received from Branch offices.

(c) Head Offices: The head office is responsible for checking of transactions under various segments done by Sub offices or branch office Savings bank (CBS) Manual, PLI, postal operation & logistic segments as per. Verification of closing balance for the day of its office and sub offices & Branch offices under it lies with head office with reference e-records and documents available and received from sub and branch offices. HPO is responsible for consolidation of e-account and submitted to CPAO on due date.

Rule 41. Daily Transaction Report (ZFR DAY_NEW)

- The DTR is the account of Head of Account wise cash receipts and disbursements of the offices, opening balance plus receipts under various heads of account equating with payments under various heads of accounts plus closing balance for each day.
- The total of schedule agrees with the figures as in DTR for the day.
- Each type of Postal unit performing transactions shall ensure verification of Daily Transaction report and its correctness.

Rule 42. Unpaid Postal Abstract

- In Head Offices, the total postage due on all unregistered articles of the letter mail received for delivery must be carefully calculated by the Postmaster himself and entered in the Unpaid Postage Abstract **Form ACG.45 (revised)** in the column headed "Total postage due on articles of the letter mail received this day." The postage realized on unpaid or insufficient articles shall be accounted under major head **1201-postage realized in cash for ordinary services**.
- Unpaid and insufficiently paid articles, if intercepted under the orders of a District Magistrate, are handed over to the authority concerned without realization of the postage due.

Rule 46. Head Office Classified Cash Book (T-code S_PL0_86000030)

(a) The transactions are classified at point of source i.e., point of transaction. The erstwhile Head office Cash Book is called Head Office Classified Cash Book as the transactions are classified system driven.

(b) The Head Office Classified Cash Book (**Form No. ACG.4**) is a record of the transactions of the head office including the transactions of the subordinate offices within the jurisdiction of Head Office. The other items under heads "Receipts" and "Payments" will be drawn up directly from the Head Office, Sub-Office and Branch Office transactions for the day.

(c) The daily totals of the Head office, Sub-office, and Branch office transactions Head of account wise will be added together in Head Office classified Cash Book.

(d) Progressive totals should also be made from the **1st** to the **end of the month**.

(e) The daily balance of the Head Office classified Cash Book is composed will be shown in the Postmaster's Balance Sheet.

(f) The Postmaster's Balance sheet show the actual balance of Head office with part of cash including BO, SO and cash or stamps under transit. The Postmaster balance sheet must be written up by the Head Postmaster personally and signed by him after he has verified the accuracy of his accounts.

Rule 47. Schedules of Receipts and Payments

(a) In a computerized operation, e-schedule of Receipts and payments is available under each head of account for all the products and services that department operates including attached statutory taxes.

(b) Postmaster or any officer in charge of any other unit is responsible to ensure that the total of the schedule figure for the day & month tallies with **DTR/Head office classified cash book** and monthly classified abstract.

Rule 48. e-schedules

Two types of e-schedule receipt and payments.

- The schedules relating to payments on account of PLI and RPLI, off cycle payments/bills paid should be submitted to Circle PAO on the **16th** of same month period of **1st to 15th** of that month and on **1st** of following month of **16th to last day** of the previous month.
- In the case of the schedules which have to be submitted to the Postal Accounts Office twice a month, the monthly total should be shown in the schedule for the second period.
- **Monthly Total:** Total from **1st to 15th** + Total from **16th to end of month**.
- Returns should be signed by Head Postmaster and should ensure that the total of e-schedules tallies with the e-Head office classified cash book before dispatch to PAO.

Rule 49. Submission of Head Office Classified Cash Account to PAO

(a) The Head office classified Cash Account of the Head Office for the previous month will be submitted by **5th** of each month to the Postal Accounts Office. The entries to be made against the several head in the monthly Head Office classified Cash Account will be progressive totals on the **last working day** of the month under each Head of account.

(b) The Head Postmaster is required to personally check the final totals of the Head Office classified Cash Book before and will be held responsible for the correctness of these entries.

Rule 52. Delegation of Duty

The duty of checking the Cash Account and submitting it to the Postal Accounts Office, may under the orders of the Head of circle, is delegated to the **APM (Accounts)**. The DOP Cash Balance Report including transit must be prepared by the Postmaster himself with the support of APM (Accounts)/Accountant attached to Head Post Office.

Rule 54. Statement of Balances

(a) The Head Postmaster is responsible that the balances in cash and stock of postage and other stamps at the close of the day are within the limits fixed by the competent authority. He can keep cash in excess of the authorized maximum when the local Treasury/Bank is closed for holidays or when the excess cash is required to meet actual liabilities or to disburse pay at the end of a month, but in every such case the reason for keeping cash in excess of the limit should be recorded in the **Daily Transaction Report**.

(b) The actual balances held in cash and stock of postage and other (non-postal) stamps at the close of each day, together with authorized balances must be entered in a weekly statement of balances in the prescribed form and submitted punctually on the **1st, 8th, 16th and 24th** of every month to the SPO's or the SSPO's, but the Head Offices under the administrative control of the Head of Circle should submit the statement of balances to the circle office for scrutiny etc.

Rule 55. Supplementary Accounts for March

- All transactions of the financial year under consideration have to be brought to accounts in the same financial year. The Postmaster/DDO have to include all transactions of all subordinate offices before the closure of March accounts at DDO Level.
- Before the closure of March Month, all reversals, transfer entries, modification etc., transaction inclusion be done in the system against **31st March** and ensure inclusion by that date.

Rule 56. Postmaster Duties Relating to Accounts

- The Postmaster is personally responsible for the correctness of the returns rendered by him/her to the Postal Accounts Office and for the punctuality of their submission.

- The duty of examining the S.O. transactions and the Branch Office transactions must always be carried out by the Postmaster personally, unless this duty is duly delegated to the Deputy or the Assistant Postmaster, as the case may be.

Rule 57. Verification of Balances and Examination of Accounts

1. **Cash Balance:** Every evening before the office is closed, the Head Postmaster should count the cash in office and satisfy himself that the total of the amounts agreed with DOP closing balance at foot of the **Daily Transaction Report** and cross verify with the DOP closing balance as in Treasurers cash Book. The DOP cash balance as ascertained from the e-treasurers' cash Book and that of e-DTR be cross checked and validated with physical cash balance.
2. **Disposal of Unused Loose Stamps:** The following procedure should be observed for the disposal of unused loose service postage stamps and stationery and revenue stamps found on counters of Post Office or in letter boxes:
 - Such stamps and stationery will be kept out of the accounts of the Post office but retained at the Post office till the end of the month following that in which they were found.
 - If the owner submits his claim within this period and is able to establish his claim the Post Office will return the stamps and stationery to him.
 - Where no claims are received by the post office within this period, or claims made could not be established, the stamps and stationery will be taken to the stock of such stamps and stationery.
3. **Sum kept out of account:** Every evening before the office is closed, the postmaster shall cross verify the correctness of availability of physical cash with that of sum kept out of treasury on **T+1 day** basis.
4. **Indian Postal Orders:** Every evening before the office is closed, the Head Postmaster should refer to the e-stock register of IPO held unsold and satisfy himself that the stock is correct.
5. **Unpaid Articles in Deposit:** Every evening, before the office is closed, the Head Postmaster should calculate the postage due on the articles of the letter mail in deposit and satisfy himself that the entries are correct and also the days realized

dues have been accounted correctly as **1201-postage realized in cash for ordinary services**.

6. **Check of Savings Bank transaction:** Each unit HO/SO/BO shall take a report of transactions done in their SOL and compare with DTR & classified cash account to ensure all transactions have been depicted in DTR and Classified cash account correctly.
7. Check of Post office certificates.
8. Check of e-MOs issued and paid.
9. Check on Drawings from Bank and remittance to Bank.
10. Check on treasury Transactions.
11. Comparison of classified cash account with e-schedule of Postal Receipts.
12. Comparison of Classified cash Account figures with McCamish PLI/RPLI.
13. Comparison of value & service charges on sale & cancellation of railway ticket through post office with DTR and Classified cash Account.
14. Comparison of CSC transactions.
15. Comparison of Western union Money transfer transactions.
16. Check of Treasurers cash book.
17. Miscellaneous Examination of Stock book of saleable Publications.
18. Account of postage with Postmen.
19. Comparison of e-schedule of payments against working expenses under major Head **3201** and **2252** other than salaries, Capital outlay major Head **5201** and **4252**.
20. Check on IPPB transactions.
21. Check on Remittance transactions other than cash & check remittances.
22. Check of transaction with RMS units.
23. Check of GST receipts and GST payments.
24. Check of pension schedules.

Rule 58. Correction of Errors

- **Transfer Entries:** Transfer entries from one head of account to correct head of account as an error of classification in the original accounts. Any transaction if not posted to a correct head of account need to be posted to correct head of account.
- **Multiple Entries:** Multiple entries as an accounting error as a result of application issues, such entries need to be reversed by following the SOP issued by Postal Directorate.
- **DDO Authorization:** DDO is authorized to make such corrections to the extent of his domain of accounts based on the request from sub ordinate units including his unit along with proper explanation & entry in the error book maintained in the office.
- **Timing:** DDO shall ensure that such reversals or posting of document based on the requirement be done on the current date and in no posting or reversal allowed of prior period/date accounts would have already been submitted and finalized. An e-report of reversals and correction of errors done by DDO be made available to Circle postal accounts office for checks and balances.

Rule 59. Submission by Head Offices & Other Accounting Units

- The verified returns with reference to e-schedules of receipts and payments under various Head of accounts constituting the accounts bundle, for submission by Head Offices to Circle Postal Accounts offices.
- Wherever e-schedules available and accessible to PAOs, no separate hard copy of the list/journal/schedule etc. be sent to Postal Accounts office. However, supporting vouchers duly mentioned with Bill number/document number with date be affixed on it be attached date wise/document no. wise/GL wise.
- Third party applications like WUMT, CSC, etc. that e-schedule of receipts and payments should be tallied with DTR of each day and also with that of classified cash account by the dealing assistant.

CHAPTER V: RAILWAY MAIL SERVICE ACCOUNTS

Rule 60. Responsibility for Accounts

(a) The Head Record Officer (HRO) is personally responsible for all the monetary transactions of the division and for the correctness of the accounts connected therewith. He shall obtain cash from the designated DDO/Head Post office to the extent of requirement and ensure that no money is kept in the office beyond the cash Imprest fixed for his office. He is responsible for safe custody of cash and ensures that cash is kept in safe custody along with joint custodian. The HRO shall obtain cheque through application workflow process for payment to vendors or outsiders based on the sanction issued by the competent authority.

(b) In every division there is an Accountant selected by Superintendent from among the sorters, to assist the Head Record clerk in the purely clerical account work of the office such as preparing bills, e-money orders, cash accounts and writing up the Cash Book, cash abstract, classified cash account and reconciliation with e-schedules. But the HRO is solely responsible that they are correctly and punctually prepared or rendered.

(c) All the contents of the HRO office safe are held in the joint custody of the Head record Officer and the Accountant, each of whom is provided with a key of the safe. The accountant is responsible for the safe custody during working hours of the contents of the office safe. He is responsible for writing up the Cash Abstract correctly and is jointly responsible with the HRO for the verification before the close of the office, of the cash balance of the cash abstract with the cash and of the other articles, documents, or property in the office safe, and for the safe custody of the cash etc., after the safe is locked up for the day.

Rule 61. Cash Abstract

A Cash abstract (**ACG-33**) is kept by each Head Record and sub record office in which the money transactions of the office itself.

Rule 62. Receipts

(a) The receipt and disposal of all miscellaneous sums received by the officials of the Railway Mail Service from various sources should, as soon as the transactions take place, be entered in a register Treasurer cash book (**Form ACG.-40**). At the close of each month

an extract from this register should be forwarded to the Superintendent of the Railway Mail Service Division concerned for information.

(b) All miscellaneous sums received from the various sources should be paid into the local Post Office through application workflow and a receipt obtained from the Postmaster and acknowledged in the system.

Rule 63. Submission of Accounts to Postal Accounts Office

At the close of business each day the e-classified cash Book should be closed and every month the figures in the classified Cash Book are tallied with corresponding e-schedule total along with vouchers and bills submitted to Postal account office same as Submitted by Head Offices & other accounting units monthly.

CHAPTER VI: STATUTORY TAXES

Rule 64. DDO Accountability

DDO (Drawing & Disbursing Officer), In case of Govt. Office or any officer designated as such is accountable for TDS deduction on payment and credit to Govt. Account. The concept of TDS envisages the principle of "pay as you earn."

Rule 65. Assessment and Recovery

Drawing and Disbursing officer including NCDDO is responsible for assessment, recovery, filing returns etc. Salary is chargeable to Income tax on due or paid basis, whichever is earlier.

- Any arrears of salary paid in the previous year, if not taxed in any earlier previous year, shall be taxable in the year of payment.

Rule 66. Deduction of Tax (Section 192)

Under section 192, the Drawing and disbursing officer is responsible to deduct income tax at the rate applicable while making payment of salary during Financial Year under consideration.

- The DDO has to issue a certificate of the amount of tax so deducted to his employees, in **Form No. 16**.

- No TDS is to be deducted on disability Pension to ex-servicemen.

Rule 67. Classification of Income Tax Recovered

The various types under which Income tax is recovered out of postal business and transactions are depicted below:

Tax Head	Description
TDS-Salary	Income tax from salary-Collection including deductions
TDS-194C	Deduction of Income tax from contractors
TDS-194A	Deduction of Income Tax Interest payments other than securities
TDS-194H	Deduction of Income Tax from Commission, Brokerage
TDS-193	Deduction from Interest on Security
TDS-192	Deduction from Govt. Emp Other than Union Government employees
TDS-194 I	Deduction of Income Tax on rent
TDS-194EE	Deduction IT on withdrawal of NSS
Income Tax	Surcharge
-	Income tax Health and Education Cess.

Rule 68. Employee Declaration

Salaried employee may furnish a statement in **Form 12BB** duly verified, giving details of his other income or loss under the head house property or claims of deductions under **Chapter VIA**, to his employer.

Rule 70. Collection and Classification

DDO/Postmaster shall ensure that the TDS so collected from salary and properly classified to Major Head **0021** and tallies with the e-schedules under the relevant head of account. File due returns **24Q** on quarterly basis.

Rule 71 to 74. Filing of Income Tax Returns by DDO

- **24G & 24Q:** TDS salary
- **26G & 26Q:** Other than Salary

Rule 76. Goods and Service Tax (GST)

GST is an indirect tax used in India on the supply of Goods and Services.

- Three different types of levies in GST:

Type of GST	Description
CGST	Central Good & service Tax (for central Govt.)
SGST/UTGST	Supply made by a registered person within a State/U.T.
IGST	IGST is leviable on Inter-State supply of goods or services or both. IGST is equivalent to sum total of CGST and SGST/UTGST

Rule 85. Place of Supply

GST is destination-based taxation or consumption-based taxation. By destination-based tax it means that the revenue accrues to the place where the goods or services are consumed.

Rule 86. Consumption Route

The consumption pattern for any goods or services follows a route:

- **B2B Supply**
- **B2C Supply**
- Recipient of Service or Goods is the final consumer.
- No credit is allowed to final consumer.

Rule 92. TDS on GST

TDS @ **2%** (1% TDS on CGST & 1% on SGST) where the value of service or Goods exceed **Rs. 2.5 Lakhs**. The provisions of TDS on GST are applicable from **1st Oct 2018**.

Rule 94. Input Tax Credit (ITC)

Under **Rule 42** of CGST Rules, it shall be the responsibility of the officer-in-charge of Postal unit to avail the Input Tax credit.

Rule 100. Payment of Taxes

- Every registered regular taxpayer under GST is required to compute his tax liability on a monthly basis by setting off the Input Tax Credit (ITC) against the Outward Tax Liability.
- The deposit shall be made through any of the following modes:
 1. Credit Card or debit card through the authorized bank.
 2. NEFT and RTGS.
 3. Over the counter (OTC).
- **Electronic Liability Ledger:** The Electronic Ledger shows the total tax liability of a registered person at any point of time.
- **Electronic Cash Ledger:** It will display the total amount deposited by the taxpayer towards discharge of his tax liability or interest or late fee or penalty any other amounts.

Rule 101. Filing Returns of GST

GST returns has to be filed by all the DDOs and NCDDOs entities that are registered under the GST system. The registered dealer if he sales, purchase, Output Goods and services tax (on Sales) and input Tax Credit with GST paid on the purchase. The Postmaster shall ensure that the CGST/SGST/UTGST/IGST collected and accounted for in the books is only remitted duly tallying with Invoice value pertains to B2B and B2C.

Rule 103. Penalty for Late Filing of GST Returns

A penalty will be levied in case he/she fails to file the returns on time. This penalty is called the late fee. The late fee is **Rs. 100** for each day for each CGST and SGST. Thus, the total fine amount will be **Rs. 200** per day. The maximum amount of fine that can be levied is **Rs. 5,000**. The taxpayer will also be required to pay an interest on amount on tax at the rate of **18% p.a.** in addition to the late fee.

Rule 104. Account and Records

As per the GST Act, every registered taxable person must maintain the accounts books and records for at least **72 months**. The period will be counted from the last date of filing of annual return for that year.

CHAPTER VII: MISCELLANEOUS CHARGES**Rule 105. Refund of Postage, etc. to the Public**

Any refunds of postage etc. shall be charged to the Head of account wherein corresponding credits are charged. May sanction the refund of the face value of:

- Unused but spoilt postage stamps, both ordinary and service, subject to a reduction of **6.25%**.
- No claim to refund is considered in respect of any complete sheets of stamps.
- Unused but spoilt Postal stationery subject to a reduction of **20%**.
- Refunds shall not be granted for unused and serviceable postage stamps.
- Refund of the value of postage stamps found loose in letter boxes or at post office counters.
- Refund of postage on account of impressions of the franking machine made in error after deduction of **5%** face value by SSP.

CHAPTER VIII: PENSION PAYMENTS

Rule 115. Scope and Applicability

The rules in this Chapter shall regulate the procedure with regard to the payment at any post office in India, of Postal service pensions payable in India out of the revenues of the Department under **CCS (Pension) Rules 2021**.

- Pension, whether due or to become due, is free from attachment from any court until it has actually been paid as per the Pension Act.

Rule 116. Place of Payment

Service pensions shall be processed by Head Post Offices and paid at any Head or Sub Post Office in India. Consequent on roll out of centralized application and disbursement is through POSB, all processing and disbursement will happen at the **DDO/Head Post Office Level**. In all cases, however, the first payment of pension shall be made at the Head or Sub Post Office in the jurisdiction of which the pensioner has elected to receive payment.

- Provisional Pension, provisional Family pension and provisional Gratuity where payable shall be drawn, by the head of office where the Government servant served immediately prior to his retirement.
- In case, service pension is disbursed through POSB account of the service pensioner across any eligible post offices in India based on request of him/her, the place where the POSB accounts stands will be the place of payment.
- Pension cannot be paid in cash. Hence credit of service pension will be through individual POSB account stands in the name preferably joint account with spouse.

Rule 119. Pension Payment Order (PPO)

Except payment of provisional pensions by Heads of Offices, payment of service pensions can be made only upon valid **e-PPO** or hard copy of the PPO in the prescribed Form issued by the Accounts officer of the **CPAO** to the Head Post Office or in the jurisdiction of which payment is desired by the pensioner.

Rule 120. Custody of PPOs

On receipt of PPO in a Head Post Office, Postmaster's half of the order shall be kept in separate files, one for each class of pension (service pension / Family pension etc.) prominently marking in red ink. These files may be kept in the personal custody of the Postmaster in such a manner that pensioners shall not have access thereto.

Rule 121. Procedure on Receipt

On receipt of the PPO, the disbursing officer shall paste the documents on his half (or the duly endorsed copy) of the Pension PPO. The pensioner's half of the order shall be made over, under receipt, to the pensioner after proper identification when he appears to receive his pension for the first time.

Rule 122. Exemption from Personal Appearance (Notation)

When a pensioner is specially exempted from personal appearance, the fact shall be noted by the disbursing officer on his Pension Payment Order.

Rule 123. Renewal of PPO

Head Postmasters are authorized to renew Pension Payment Orders without reference to the Postal Accounts Office in cases in which pensioner's half is lost, worn or torn, or completely filled up. Old PPO shall be retained by the Postmaster for **three years** and then destroyed.

Rule 125. Loss of PPO

If both halves of a PPO are reported lost in transit due to floods etc., before commencing payment, the Directors / Dy. Director of Accounts (Postal)/GM (PAF) will issue a duplicate PPO which would be prominently marked as "**Duplicate - No payment to be made against original PPO.**"

Rule 126. Commutation of Pension

PPO have the amount of payment of the commuted value of the pension and the reduced amount of pension to be payable with effect from the date of commutation. The date of payment of commuted value will be noted on both the halves of the PPO by the disbursing officer.

- Restoration of commuted value of Pension will be authorized by Head Postmasters after **15 years** from the date of payment.

Rule 128. Register of Pension Payment Order

The Postmaster will keep a register/e-register in **Form No. Pension-2** of the PPO received by him. When both portions are returned due to death or transfer or otherwise, date of the renewed PPO or the date and cause of return should be entered in the black ink under the Postmaster's initials. An intimation about the death of a pensioner should be recorded by Postmaster.

Manner of Payment

Rule 132. Due Date

Pension fixed at monthly rates are payable monthly on or after the **last working day** of the month except pension payment for the month of **March** which shall be paid on **first working day of April**.

Rule 133. Payment of Claims

The disbursement of provisional pension drawn by the **DDO/Head Post Office** shall be made by drawl of bills based on the sanction issued by the competent authority in the same manner in which Pay and allowances are disbursed by him.

Rule 134. Exemption from Personal Appearance

A pensioner specially exempted by the orders of competent authority from personal appearance, a female pensioner not accustomed to appear in public, or a pensioner who is unable to appear in consequence of bodily illness or infirmity, may be received his or her pension through a representative upon the production of a **life certificate** signed by a responsible Government Officer or by some other well-known and trustworthy person.

Rule 135. Authorities for Life Certificate

A pensioner who produces a life certificate signed by any person specified hereunder is exempted from personal appearance:

- A Magistrate under the CrPC.
- A Registrar or Sub-Registrar appointed under the Indian Registration Act.

- A Group A or B Government servant.
- Sub-Inspector-in-charge of a police station.
- A Postmaster, a Sub-Postmaster or an Inspector of Post Offices.
- A pensioned officer who, before retirement, exercised the powers of a Magistrate.
- A Block Development Officer, Munsif, Tahsildar or Naib Tahsildar.
- A head of a Village Panchayat, Gram Panchayat.

Rule 136. Pensioners Non-Resident in India

A pensioner not resident in India may draw his pension in India, through a duly authorized agent, possessing a legally valid power of attorney, who must produce a life certificate on each occasion, unless the duly authorized agent has executed an indemnity bond to refund overpayments in which case, he has to produce the life certificate at least **once a year**.

Rule 137. Agents with Indemnity Bonds

A pensioner of any description resident in India is exempted from personal appearance if he draws his pension through an agent who has executed a bond to refund overpayments and produce at least **once a year** a life certificate signed by a person authorized under **Rule 135** to sign such certificates.

Rule 138. Validity of Agent Payment

The pension of a person drawing his pension through an authorized agent who has executed a bond to refund overpayment, shall not be paid on account of a period of **more than a year** after the date of the life certificate last received, and the disbursing officer shall be on the watch for authentic information of the death of any such pensioner, and on receipt thereof, shall promptly stop further payments.

Rule 139. Payment to Minors/Guardians

When a pensioner is a minor, or is for any other reason incapable of managing his own affairs, and has not regularly appointed manager or guardian or when the guardian so appointed dies or forfeits the position of a guardian payments may be made to the person, who comes with the pensioner as the guardian for the first time, provided the same

person produces a certificate from the Collector of the District or the Deputy Commissioners declaring him to the manager or guardian for the purpose of receiving, on behalf of the pensioner, pension due to him.

- This certificate shall be kept on record with the disburser's half of the PPO.

Forms of Pension Bills and Connected Certificates

Rule 141. Declaration of Marriage/Remarriage

A declaration shall be obtained **half yearly** from all recipients of family pension whose pension is terminable on their marriage or remarriage. Every pension disbursing officer shall submit to the Accounting Authority concerned a statement showing particular and date of last payment of pensions in respect of the cases of failure to furnish the above declaration in the month of **January** and **July**.

Rule 142. Payment of Family Pension on Death

A disbursing officer, will in case of death of pensioner governed by **Rule 50 of CCS (Pension) Rules 2021**, start paying family pension to the widow/widower on receipt of death certificate of the pensioner and the Application in **Form-10**. For the grant of family pension to her/him, and he will also send an intimation in this regard to the Postal Accounts Office.

Rule 143. Checks by Disbursing Officer

A pensioner drawing pension for the first time shall be required to produce his personal copy of PPO to the Head Postmaster and his signature or thumb / great toe impression on the bill shall be compared with the specimen signature or thumb / great toe impression received with the PPO and a note to this effect shall be recorded on the disburser's half of the order.

- Consequent on the disbursement of pension through POSB, this requirement is not in vogue as payment will be done through POSB based on the request and data furnished by the service pensioner.

Rule 144. Precautions for Agent Payments

When a pensioner draws his pension through another person, the disbursing officer must take special precautions against fraudulent presentation of claims and satisfy himself of

the existence of the pensioner and of the identity of the payee before any payment is ordered and if he feels any suspicion, shall refer it to the pensioner before payment.

Rule 146. Record of Payment

Every payment of pension including Family pension through POSB or any other mode authorized by D-G. The Pension Disbursing Authority shall process pension through system and ensure the availability of Schedules/e-schedules tallied with the actual amount of disbursement charged in the DTR.

Gratuities

Rule 148. Payment of Gratuity

A gratuity is paid in a single sum, and not by instalments on an authority received from the concerned Postal Accounts. Payment can be claimed on the letter of authority itself, and no separate bill is necessary.

Rule 149. Tax Exemption

Under the **Section 10(10)** of the **Indian IT Act, 1961** has been exempted from income-tax of the death-cum-retirement gratuity paid under the **CCS (Pension) Rules 2021** of the Central Government or same state Govt.

Rule 150. Interest on Delayed Gratuity

In case of delay in payment of gratuities beyond **3 months** of the date they become due on account of administrative lapse or for reasons beyond the control of the Pensioner concerned, Interest shall be paid to Pensioner.

Rule 151. Provisional Gratuity

Provisional gratuity sanctioned by a competent authority in respect of a retired Government Servant shall be drawn separately by the Head Post Office in which he last served.

Periodical Identification of Pensioners

Rule 152. Life Certificate

The pensioners/family pensioners would be required to furnish a Life Certificate in **November** each year to pension disbursing authority.

- The Pensioners/Family pensioners aged **80 years and above** may submit their Life certificate w.e.f. **1st October** of each year which would be valid till **30th November**.
- **Digital Life Certificate (DLC)** may be produced by Pensioners to pension disbursing authority. The Pension disbursing authorities are authorized to accept Life certificate through **Jeevan Pramaan portal**.

Undrawn Pension and Arrears

Rule 153. Lapse of Pension

A pension remaining undrawn for **more than one year** shall cease to be payable by the Disbursing Officers. If the pensioner afterwards appears, or a claim is presented on his behalf, the Disbursing Officer may make the payment, but the arrears cannot be paid without the previous sanction of the authority by whom the pension was sanctioned to be obtained through the Head of Postal Accounts office:

- (a) If the arrears relate to a pension to be paid for the first time.
- (b) If the amount in arrears exceeds **Rs. 50,000**.

If a service pension remains undrawn for **three years**, it cannot be paid without the authority of the **PAO** or **CCA** and concerned. A gratuity payment order shall remain in force for **one year** only, if payment has not been made on it within a year of its issue. The void order shall be returned to the PAO or CCA.

Rule 154. Death of Pensioner (Arrears)

The payment of arrears of pension due in respect of a deceased pensioner shall be regulated by the following rules:

- (a) Pension can be drawn for the day of pensioner's death, the hour at which death takes place has no effect on the claim.

(b) In the death of a pensioner, payment of any arrears actually due may be made to his heirs, provided that they apply within **one year** of his death; they cannot be paid thereafter without the sanction of the competent authority to be obtained through the Accounting Authority concerned.

Provided that:

1. If the gross amount of arrears does not exceed **Rs. 50,000** and the case represents no peculiar feature the accounting authority concerned may authorize the payment on his own authority.
2. If the gross amount of arrears exceeds **Rs. 50,000** but does not exceed **Rs. 2,50,000** under the orders of the Head of the Department, upon production of **Indemnity Bond in form TR-14** duly stamped, for the gross amount due for payment, with such sureties as may be deemed necessary.
3. Normally there should be two sureties, both of known financial stability, if the gross amount of claim is less than **Rs. 75,000** in which case the authority accepting indemnity bond in **form TR-14** for and on behalf of President of India should decide on the merit of such case whether to accept only one surety instead of two.
4. Where the amount of arrears exceeds **Rupees 2,50,000**, payments shall be authorized to be made only to the persons producing the legal authority.

(c) After payment of the arrears of pension, both portions of the PPO shall be returned to the Accounting Authority concerned, with a report of the date of the death of the pensioner.

Rule 155. Nominations

The payment of arrears of Pensions will be made to the nominees of the deceased pensioners in accordance to the **Payment of Arrears of Pension (Nomination) Rules, 1983**.

(a) Every employee has to submit to the Head of the office of the Department, from where he/she is retiring, a nomination in **Form A** in triplicate within **three months** before or after the date of retirement.

(b) Within **thirty days** of the receipt of the nominations the Head of the office shall verify and return to the Pensioner the duplicate copy of the nomination duly attested by him.

The triplicate copy duly accepted shall be sent to the Accounts Officer, who shall pass it on to the Pension Disbursing Authority along with the PPO.

(c) A notice of modification of nomination including cases where a nominee predeceases the pensioner shall be submitted to the Pension Disbursing Authority.

Rule 156. Reports to the Postal Accounts Office

A **six-monthly statement** of cases of failure to draw pensions shall be prepared by the Head Postmasters separately in respect of (1) the pension payment orders issued by the Postal Accounts Offices and (2) the pension payment orders issued by the Circle Telecom Accountants. Accountant concerned so as to reach them by the **10th of June** and the **10th of December**.

Rule 157. Cessation of Pension

When pension ceases to be payable during the life-time of a pensioner, both portions of Pension Payment Order shall be returned by the Postmaster to the Postal Accounts Office or Circle Telecom Accounts office concerned after making the last payment and with a note recording the reasons for the cessation of the pension.

Rule 158. Transfers of Pension

The transfer of payment of pension from one Post Office to another within the jurisdiction of the same Postal Accounts Office may be authorized by the Head Postmaster. The Head Postmaster sanctioning the transfer of payment of pensions should record in the endorsement to Postal Account Office a certificate to the effect that a note has been made in the Register of e-Pension payment order/PPO maintained in his office.

- The Head Postmaster of the office to which the pension papers have been transferred while acknowledging receipt of the transferred pension papers to the Head Postmaster sanctioning the transfer will, in his endorsement of the same to the Postal Accounts Office specify the date from which he has to commence pension payment and the case mark of transferring office.
- In case of transfer of payment of pensions from one Post Office to another within the jurisdiction of another Postal Accounts Office the Postmaster of the Head Office from which the payment is transferred should return both the halves of

Pension payment Order to the **Director of Accounts Postal** who issued the original order, for necessary action.

Rule 159. Accounts

Payment on account of pensions and commuted value of pensions made by Head Post Offices will be entered in the e-schedules of pension payments are recorded in separate schedules. The schedules of pension payments should be preserved for **ten years**.

Rule 160. Classification

Payments made by the Pension disbursing authority/DDO should be charged and classified **15-digit** Head (**10-digit** GL code) Heads of accounts.

Rule 162. Death and Excess Credits

In case it is found that the pensioner has expired, the date of death will be got ascertained and noted in the P.P.O. under the initials of the Postmaster / Sub Postmaster and further credit of the pension to the S.B. account will be stopped.

- In case of excess or wrong credit of pension because of the death of the pensioner, the excess amount credited will be withdrawn by the postmaster from the S.B. account of the pensioner under his own signature and credited to the unclassified Receipts with suitable remarks.
- A remark to the effect will also be made in the PPO.
- In case the balance left in the account is so small that full recovery is not possible, the amount of over-payment should be intimated to the Director of Accounts (Postal).

Rule 165. Transfer - POSB Credits

At Present scenario pension credit any **POSB** account which stands any post office in all over India.

Family Pension

Rule 166. Documents Required

The amount of family pension payable to the widow / widower of the deceased pensioner is also given in the pension payment order. When she/he becomes entitled to receive family pensions, the Head Postmaster will obtain the following documents from the widow/widower who will also be asked to open a S.B. pension Account in her/his name.

- Death certificate of pensioner.
- Application for the family pension in the form at **Annexure D**.
- A copy of the photograph.
- A letter of authority and undertaking (**Annexure A**).

Rule 167. Authorization of Family Pension

On receipt of the above documents the Head Postmaster will authorise the concerned post office to start paying family pension to the widow / widower as mentioned in the PPO after necessary scrutiny and verification of the documents. The Head Postmaster will also send intimation in this regard to the Director / Dy. Director of Accounts (Postal) in the form at **Annexure E**.

- The declaration in the form at **Annexure F** whose family pension is terminable on marriage / remarriage will be obtained from the pensioner **once a year in December** except who giving an undertaking that the pension would be drawn until remarriage which would be reported promptly to the Postmaster.

CHAPTER IX: ACCOUNTS OF OTHER UNITS

Rule 168. Non-Cheque Drawing DDOs (NCDDO)

The units called Non-Cheque Drawing and Disbursing (NCDDO) units like **MMS, COs, ROs, Postal Directorate, PA wing, PLI Directorate, BD Directorate, Centre for excellence Postal Technology, Postal Stores Depot, Postal training centers, Head Record Offices**, etc. These units obtain funds (cash & cheque) through workflow in the application and show such remittances under the major Head **8782 RSAO**.

CHAPTER X: MISCELLANEOUS SUBJECTS

Rule 169. Change in Status of a Post Office

(a) HO to SO (b) SO to HO (c) BO to SO (d) Closing / Relocation of Offices.

- The competent authority issues suitable administrative orders and based on it a Service desk ticket will be raised under **CSI** for the changes required.
- This is a common template which shares data for creation of Facility ID, Profit/Cost Centre, Plant/Storage, office specific data for maintaining at F&A and others.
- The Balance from the old PC to new PC is transferred as per the procedure.
- SOL transfer Office Accounts pending operations report generated by the **CPC**.

Rule 171. Railway Mail Service Vans

Payment of haulage, weighment, interest charges and subsidies to Railway. The Capital cost of the Railway Mail Service Vans maintained in register of Railway Vans in **Form A.C.G.-69**.

There are four types of Mail vans in which we carry mails:

Type of Mail vans	Utilized of Accommodation of mail van	Payment to be made for no. of berths
S.W- Full Van	More than 3/4 of the coach	72 berths
S.T- Van	More than 1/2 up to 3/4	54 berths
S.H- Half Van	More than 1/4 up to 1/2	36 berths
S.Q- 1/4 of a Van	1/4 of the coach or less	18 berths

Method of payment of haulage charges: The billing will be done on monthly basis. The bills by the **10th** of the following month to which the bills pertain.

Haulage Charges (2023-24 Rates):

Distance Slab	Charges for 2023-24
0-500 kms	Rs. 1.15 per berth per km
501-1000 kms	Rs. 0.73 per berth per KM (Subject to minimum of Rs. 575/km/berth)
1001 kms and more	Rs. 0.61 per berth per KM (Subject to minimum of Rs. 730/km/berth)

List of Forms

Form No.	Description of Form
ACG-2	E-Treasurer Cash book
ACG-4	Head office classified Cash Book
ACG-5	Post Office Cash Account
ACG-28	Register of cheques received and cleared
ACG-40	e-classified cash Book
ACG-45	Unpaid postal abstract Register
ACG-67	e-Money Receipt
ACG-33	Cash Abstract at RMS offices